

THE DREAMWORKS STORY



AP PHOTO/JOHN MARSHALL MANTEL

1994: Steven Spielberg with former Disney CEO Jeffrey Katzenberg and music mogul David Geffen sets up DreamWorks, an indepen-

dent studio, with a capital of \$500 mn from Microsoft co-founder Paul Allen.

1998: The studio has its first big hit with Spielberg's

POWER TRINITY: (L to R) Geffen, Katzenberg, Spielberg

Saving Private Ryan.

1999: The studio announces it is pulling out of a plan to build a 1.5-mn-sq-ft state-of-the-art studio in Los Angeles.

2003: Declared to be on the verge of bankruptcy after it loses \$125 million on its animation movie *Sinbad*.

2004: It spins off DreamWorks Animation SKG as a separate company, with Katzenberg as CEO. It makes two pictures a year and has a distribution deal with Paramount, expected to run till 2012.

2005: Movie-starved Paramount buys DreamWorks for \$1.6 billion in a deal crafted by its new president Brad Grey. The two agree to

make six movies a year. To pay for the purchase, Paramount plans to sell DreamWorks' library of movie titles for \$1 billion.

2007: Has a great year, contributing two-thirds of the revenue that makes Paramount the only studio to hit \$1 billion in a year.

2008: DreamWorks splits from Paramount and becomes independent again, signing a deal for a new joint motion picture studio with Reliance-ADAG.



October 2007, meetings actors, directors, agents and finally lawyers. Big Entertainment, in which billionaire investor George Soros bought a 3 per cent stake at \$100 million earlier this year, considered two other studios on sale. One, MGM, was not considered valuable enough. Its private equity owners didn't want to sell out for anything less than the \$5-billion they paid for the studio in 2004. Another independent studio, Lions Gate, was too over-priced. But there is talk now of Reliance-ADAG resuming its talks with MGM. That deal, too, is likely being brokered by CAA's low key motion picture agent Emanuel "Manny" Nunez, the low profile star of the DreamWorks-Reliance union.

With the world in a financial tailspin, there is naturally exultation in DreamWorks that they have got a generous handout, which even for Reliance-ADAG, with a cash flow of \$3 billion, is a lot of money. The buzz around the Reliance-ADAG deals

brokered with individual talent have also gladdened many Hollywood hearts at a time when there is general hostility to high price tags. Which is why talent seems to have readily fallen into their lap. The result: eight deals each with Nicolas Cage's Saturn Productions, Jim Carrey's JC 23 Entertainment, George Clooney's Smokehouse Productions, Chris Columbus' 1492 Pictures, Tom Hanks' Playtone Productions, Brad Pitt's Plan B Entertainment, and Jay Roach's Everyman Pictures. All of them have a commitment of \$1 billion over the next 18 months, with an understanding that of the 40-odd films in development, 10 will be actually shot. But just to be realistic, \$1 billion is small potatoes in an industry which can consume \$200 million in the making of one movie and still have no money left for its marketing. DreamWorks's own record is littered with the corpses of such expensive projects. Take *Things We Lost in the Fire*, starring Oscar winner Halle

Berry. Made for \$16 million, it made just \$3.2 million at the US box-office.

Increasingly, over-priced talent is becoming the villain of the piece in Hollywood. It is something Reliance-ADAG considered to be an opportunity, says a source. "All through Hollywood, the talent is feeling ignored. It wants to do more than just tentpole pictures which sell McDonald's burgers and superhero figures." It also knows that these franchises pay the bills, with salaries of some actors rocketing to over \$20 million. For instance, one analysis says Nicole Kidman's 2007 film, *The Invasion*, lost about \$2.68 for every dollar she was paid, an amount said to be close to \$17 million. Similarly, Tom Cruise's *Lions for Lambs* made only \$4 for every \$1 he was paid. Or take Russell Crowe, whose *A Good Year* cost \$35 million to make and earned only \$40 million worldwide. For actors such as Carrey and Cage, such an open-ended deal where they would be allowed to de-